CASCADIA ANALYTICS

Broadcom Inc.

Equity Research Note | AVGO | 21 OCTOBER 2026

AI Silicon at Hyperscale

Broadcom screens as a Hold with a $314.82 blended target, 6% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$334.37	$314.82	-6%	HOLD

Investment Thesis

AI Silicon at Hyperscale. Custom AI accelerators and networking to Google, Anthropic, and OpenAI. AI semiconductor revenue hit $16.7B (+221% YoY), 56% of total revenue [8-K earn]. Guidance Compounds the Story. Q4 FY26 guide: $34.8B revenue (+93% YoY) with $21.7B AI (+236%). FY27 AI revenue guided to ~$115B, doubling again to ~$230B in FY28 [8-K guid]. Two Engines, One Cash Machine. VMware infrastructure software grew 29% with 15% ARR growth, offsetting lower-margin XPU mix. Quarterly FCF of $13.7B (+95%) funds the

- AI Silicon at Hyperscale
- Guidance Compounds the Story
- Two Engines, One Cash Machine

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The latest print

Guidance Compounds the Story. Q4 FY26 guide: $34.8B revenue (+93% YoY) with $21.7B AI (+236%). FY27 AI revenue guided to ~$115B, doubling again to ~$230B in FY28.

Two Engines, One Cash Machine. VMware infrastructure software grew 29% with 15% ARR growth, offsetting lower-margin XPU mix. Quarterly FCF of $13.7B (+95%) funds the AI buildout.

$29.59B	$16.7B	$8.75B	75%	$13.67B	$34.8B
REVENUE (Q3 FY26)	AI SEMICONDUCTOR REVENUE	INFRASTRUCTURE SOFTWARE REVENUE	GROSS MARGIN	FREE CASH FLOW	Q4 FY26 REVENUE GUIDE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q3 FY26)	$29.59B	+86% YoY	Up
AI Semiconductor Revenue	$16.7B	+221% YoY	Up
Infrastructure Software Revenue	$8.75B	+29% YoY	Up
Gross Margin	75%	-210 bps seq	Down
Free Cash Flow	$13.67B	+95% YoY	Up
Q4 FY26 Revenue Guide	$34.8B	+93% YoY	Up
FY2027 AI Revenue Outlook	~$115B	~2x FY26	Up
Net Debt	$48.9B	-$9.3B YoY	Down

The moat

Custom AI accelerator ramps at Google (Ironwood TPU v7/v8i), Anthropic, and OpenAI

The growth engine

AI networking fabric: Ethernet scale-out for hyperscale AI clusters

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	12.0%	$166.35B	40.8%	**$219.55**	-34%
Base	50%	20.0%	$219.89B	46.6%	**$321.12**	-4%
Bull	25%	25.0%	$258.59B	50.0%	**$397.51**	+19%

Bear: downside case at $219.55 (-34%).

Base: central case at $321.12 (-4%).

Bull: upside case at $397.51 (+19%).

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The probability-blended target implies 6% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -6% from the $334.37 reference price.

$314.82
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$105.89B**
Valuation horizon	**2026-2030**
Live WACC	**10.04%**
Terminal growth	**3.0%**
Net debt	**$35.44B**
2030 FCF (Base)	**$107.00B**
10-year Treasury yield	**5.1%**
Beta	**1.49**
Equity risk premium	**3.4%**

HOLD | $314.82 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 32.9%. at/above Bull (25%) , euphoric

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$434.5B	$81.66	+10%	$849.6B	$166.59	+30%	$1545.9B	$309.08
-9%	$450.1B	$84.84	+11%	$876.9B	$172.18	+31%	$1590.0B	$318.10
-8%	$466.1B	$88.12	+12%	$904.9B	$177.92	+32%	$1635.0B	$327.31
-7%	$482.6B	$91.50	+13%	$933.7B	$183.80	**+33%**	**$1681.1B**	**$336.74**
-6%	$499.6B	$94.98	+14%	$963.2B	$189.83	+34%	$1728.1B	$346.36
-5%	$517.2B	$98.57	+15%	$993.4B	$196.02	+35%	$1776.2B	$356.20
-4%	$535.2B	$102.27	+16%	$1024.4B	$202.36	+36%	$1825.3B	$366.26
-3%	$553.8B	$106.07	+17%	$1056.2B	$208.86	+37%	$1875.5B	$376.53
-2%	$573.0B	$109.99	+18%	$1088.7B	$215.53	+38%	$1926.8B	$387.02
-1%	$592.7B	$114.02	+19%	$1122.1B	$222.35	+39%	$1979.2B	$397.73
+0%	$613.0B	$118.17	+20%	$1156.3B	$229.35	+40%	$2032.6B	$408.67
+1%	$633.8B	$122.44	+21%	$1191.3B	$236.51	+41%	$2087.2B	$419.84
+2%	$655.3B	$126.83	+22%	$1227.1B	$243.85	+42%	$2142.9B	$431.24
+3%	$677.3B	$131.34	+23%	$1263.8B	$251.36	+43%	$2199.8B	$442.88
+4%	$700.0B	$135.98	+24%	$1301.4B	$259.05	+44%	$2257.8B	$454.75
+5%	$723.3B	$140.75	+25%	$1339.9B	$266.92	+45%	$2317.1B	$466.87
+6%	$747.2B	$145.65	+26%	$1379.2B	$274.97	+46%	$2377.5B	$479.24
+7%	$771.8B	$150.68	+27%	$1419.5B	$283.21	+47%	$2439.1B	$491.85
+8%	$797.1B	$155.84	+28%	$1460.7B	$291.64	+48%	$2502.0B	$504.72
+9%	$823.0B	$161.15	+29%	$1502.8B	$300.26			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$1,045.43B	—	3.0%	-$35.44B	$1,009.98B	**$219.55**
Base	$1,512.68B	—	3.0%	-$35.44B	$1,477.24B	**$321.12**
Bull	$1,864.07B	—	3.0%	-$35.44B	$1,828.62B	**$397.51**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$219.55	$241.59	$256.34	$270.78	$284.79	$298.58
Base	$321.12	$353.36	$378.11	$402.08	$424.48	$445.81
Bull	$397.51	$437.42	$469.90	$501.38	$530.92	$558.58

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $314.82 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Custom AI accelerator ramps at Google (Ironwood TPU v7/v8i), Anthropic, and OpenAI

AI networking fabric: Ethernet scale-out for hyperscale AI clusters

VMware Private AI Cloud plus 15% ARR growth; enterprise workload repatriation

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$33.2B	$35.8B	$51.6B	$63.9B	$89.1B
Gross Margin	n/a	n/a	n/a	n/a	75.5%
Op Margin	n/a	n/a	n/a	n/a	54.3%

Valuation cross-check

P/E (fwd) 17.0x

DCF Base $321.12

PEG 0.34

DCF base sits ~4% below spot, so no absolute upside. Forward earnings multiple is undemanding for 90%+ revenue growth.

MRVL 31x fwd P/E

ALAB 45x P/E

AVGO trades cheaper than high-growth custom silicon peers on forward earnings.

EV/EBITDA (TTM) 30.7x

elevated vs history

Multiple stretched by the AI rerating; the growth trajectory must now carry it.

What to monitor

Dec 2026. Q4 FY26 Earnings (Positive): $34.8B revenue guide with ~$21.7B AI semiconductor revenue. The defining test of the FY27 $115B trajectory.

FY2027. Custom Silicon Ramps (Positive): Ironwood TPU v7 shipping to Google and Anthropic, TPU v8i in production, OpenAI first-gen accelerator delivered.

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2026-27. Regulatory Overhang (Two-Sided): Potential China review of networking gear and EU scrutiny of VMware licensing terms.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$33.2B	$22.1B	$14.3B	$19.2B
2023	$35.8B	$24.7B	$16.5B	$20.6B
2024	$51.6B	$32.5B	$15.0B	$23.9B
2025	$63.9B	$43.3B	$26.1B	$34.7B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$73.2B	$50.5B	$22.7B	$12.4B
2023	$72.9B	$48.9B	$24.0B	$14.2B
2024	$165.6B	$98.0B	$67.7B	$9.3B
2025	$171.1B	$89.8B	$81.3B	$16.2B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$16.7B	$-424M	$-15.8B	$16.3B
2023	$18.1B	$-452M	$-15.6B	$17.6B
2024	$20.0B	$-548M	$-1.7B	$19.4B
2025	$27.5B	$-623M	$-20.1B	$26.9B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $314.82 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 28 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.92% of shares outstanding. Form 4 filings over the trailing six months show $373.6K of open-market purchases against $283.70M of sales, a net flow of -$283.32M. One-year total shareholder return is -1.7% against CEO total pay of $2.93M (Mr. Hock Eng Tan), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	1.92% of shares held by insiders
Form 4 Flow (Conviction Flow)	8 / 30	Buys $373.6K (1) vs sales $283.70M (7), net -$283.32M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -1.7%; Mr. Hock Eng Tan, President, CEO & Executive Director, total pay $2.93M
Agency Risk Score	**28 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-07-10	Brazeal Mark David	Officer	SELL	25,000	$10.03M
2026-07-08	Delly Gayla J	Director	SELL	1,890	$728.4K
2026-07-08	Brazeal Mark David	Officer	SELL	25,000	$9.48M
2026-06-29	Page Justine F.	Director	SELL	1,602	$598.9K
2026-06-25	Brazeal Mark David	Officer	SELL	25,000	$9.68M
2026-06-24	Samueli Henry	Director	SELL	654,241	$250.01M
2026-06-17	Brazeal Mark David	Officer	SELL	8,152	$3.18M
2026-06-11	You Harry L	Director	BUY	1,000	$373.6K

SEC proxy audit, DEF 14A filed 2026-03-02

Alignment grade A. LONG-TERM PSU EXTENSION GRANTED. Hock E. Tan, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

In September 2025, the Board granted CEO Hock Tan a new PSU award extending his leadership through fiscal 2030, with 96% of his annualized target compensation structured as variable pay tied to equity performance. Detailed Summary Compensation Table dollar figures are omitted from this excerpt, but executive incentives remain strictly tied to long-term equity growth. Broadcom delivered exceptional operational execution and TSR of 1,082% over five years, maintaining strong pay-for-performance alignment.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1730168/000119312526085691/d49254ddef14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Customer Concentration

A handful of hyperscalers (Google, Meta, OpenAI, Anthropic) drive AI revenue; loss of share or a design loss at any major customer would be material.

Margin Mix Shift

Custom AI accelerators carry expensive HBM and lower gross margins. As AI grows as a share of mix, gross margin fell 210 bps sequentially.

Regulatory Overhang

Potential China review of Broadcom networking gear and EU scrutiny of VMware licensing terms could disrupt two core franchises.

The strengths

Operating Quality

Dominant custom ASIC and AI networking franchise with VMware as a second cash engine. 75% gross margins, 54% operating margins, $30B+ annual FCF. Tempered by acquisition-driven leverage ($65B debt) and hyperscaler concentration.

Recent Trend

Revenue accelerating violently: $16.0B to $29.6B quarterly in a year, AI revenue tripling (+221%), FCF +95%, GAAP net income +200%. Only blemish is gross margin down 210 bps on XPU mix.

Forward Growth

Q4 guide implies 93% growth with AI at $21.7B (+236%). Management sees AI revenue doubling to ~$115B in FY27 and again to ~$230B in FY28, targeting $30+ EPS. Concentration in a few hyperscalers is the offset.

Valuation

DCF base $321.12 sits ~4% below spot, so absolute upside is absent. But forward P/E of 17x and PEG of 0.34 are undemanding for this growth, and the stock is cheaper than custom-silicon peers.

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Cascadia scorecard

Composite score 76: Attractive. Confidence High, as of 17-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Dominant custom ASIC and AI networking franchise with VMware as a second cash engine. 75% gross margins, 54% operating margins, $30B+ annual FCF. Tempered by acquisition-driven leverage ($65B debt) and hyperscaler concentration.	85
Recent Trend	Revenue accelerating violently: $16.0B to $29.6B quarterly in a year, AI revenue tripling (+221%), FCF +95%, GAAP net income +200%. Only blemish is gross margin down 210 bps on XPU mix.	88
Forward Growth	Q4 guide implies 93% growth with AI at $21.7B (+236%). Management sees AI revenue doubling to ~$115B in FY27 and again to ~$230B in FY28, targeting $30+ EPS. Concentration in a few hyperscalers is the offset.	85
Valuation	DCF base $321.12 sits ~4% below spot, so absolute upside is absent. But forward P/E of 17x and PEG of 0.34 are undemanding for this growth, and the stock is cheaper than custom-silicon peers.	60
Catalysts & Risk	December Q4 print and Ironwood/TPU ramps are near-term positives. Risks: customer concentration, lower-margin XPU mix, China networking review, EU VMware scrutiny. Skew roughly balanced.	65

Investment view

A Q4 FY26 beat above the $34.8B guide that keeps the $115B FY27 AI trajectory intact would lift Forward Growth and Trend. Conversely, a major customer share loss or a China/EU regulatory hit would cut growth and quality scores.

Investment view: Hold. The $314.82 blended target implies -6%, balancing the $219.55 / $321.12 / $397.51 Bear / Base / Bull outcomes.

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